

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY

Master of Business Administration (MBA)

Semester II University Examination May 2010

MB711 Organisation Structure and Design

Date: 14-05-2010, Friday Time : 12:30 PM to 3:30 PM Maximum Marks : 70

Instructions:

1. This paper contains six questions, of which the last one is a case analysis.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks and the last case analysis will carry 20 marks.

- Q1. Proper understanding of organisational behavior and organizational theory can improve managerial effectiveness. Explain the statement with a suitable example. (10)
- Q2. "An organisation is, to some degree, a product of its history." Discuss this statement in light of the life cycle. (10)
- Q3. Contrast Taylor's and Fayol's level of organisational analysis. (10)
- Q4. If management was concerned with developing future top management talent, which organisational design would be preferable? Why? (10)
- Q5. How strategy, organisation size, technology, environment and power-control are interrelated in organizational context? (10)
- Q6. Analyse the following case from the organization structure and design perspective: (20)

American Motors Corporation might have been a "little guy" by auto industry standards, but with sales of \$3.5 billion, it certainly qualifies as a large organization. When it was bought in August of 1987 by Chrysler Corp., Chrysler chairman Lee Iacocca described the task of merging AMC into Chrysler's operation akin to "swallowing a whale."

Before Japanese firms like Honda and Nissan began producing cars in the United States, AMC regularly held fourth place among the so-called

Big Four U.S. automobile manufacturers-behind General Motors, Ford and Chrysler. AMC had given America cars like the "little Nash Rambler," the Pacer, and the Hornet. But Chrysler wanted AMC predominantly for its highly popular and profitable line of Jeeps and for its new Canadian manufacturing plant. Never a major money-maker, Chrysler was also intent on making AMC more efficient. Iacocca needed not only to merge AMC into Chrysler, but he wanted to cut its operating costs as he had done at Chrysler when he took over in 1980.

The difficulty of merging AMC into Chrysler would not be easy under the best of circumstances, but it was especially challenging in the summer of 1987. Specifically, automobile and truck sales in the United States fell 7 percent that year and U.S. unit sales of Chrysler's line of cars slid 16 percent. Chrysler's pretax profit margin was down to 8.3 percent from 10.2 percent in 1986. Moreover, Japanese carmakers were boosting output at their newly built U.S. factories and Korean automakers, particularly Hyundai, were rapidly expanding their market share. Meanwhile, AMC was preparing to launch the Premier, the first of its new Eagle line of cars, in the fall of 1987.

During the six months following the August 1987 purchase of AMC, Iacocca made every minute count. For example, to boost Jeep production fast at AMC's well-worn Toledo plant, he got workers to work overtime on Saturdays in return for a promise to keep the factory running through 1992; he shut down AMC's 86-year-old Kenosha, Wisconsin, plant, eliminating 5500 jobs and cutting total capacity by 230,000 vehicles; and he began cloning other practices he had used at Chrysler to cut costs, such as reducing steel inventories at stamping plants by 80 percent and eliminating duplication in the production of parts.